

Findings Report

Likitha Vankadoth · Data: DCCEEW Biodiversity Offsets Scheme registers, extracted 5 Oct 2026

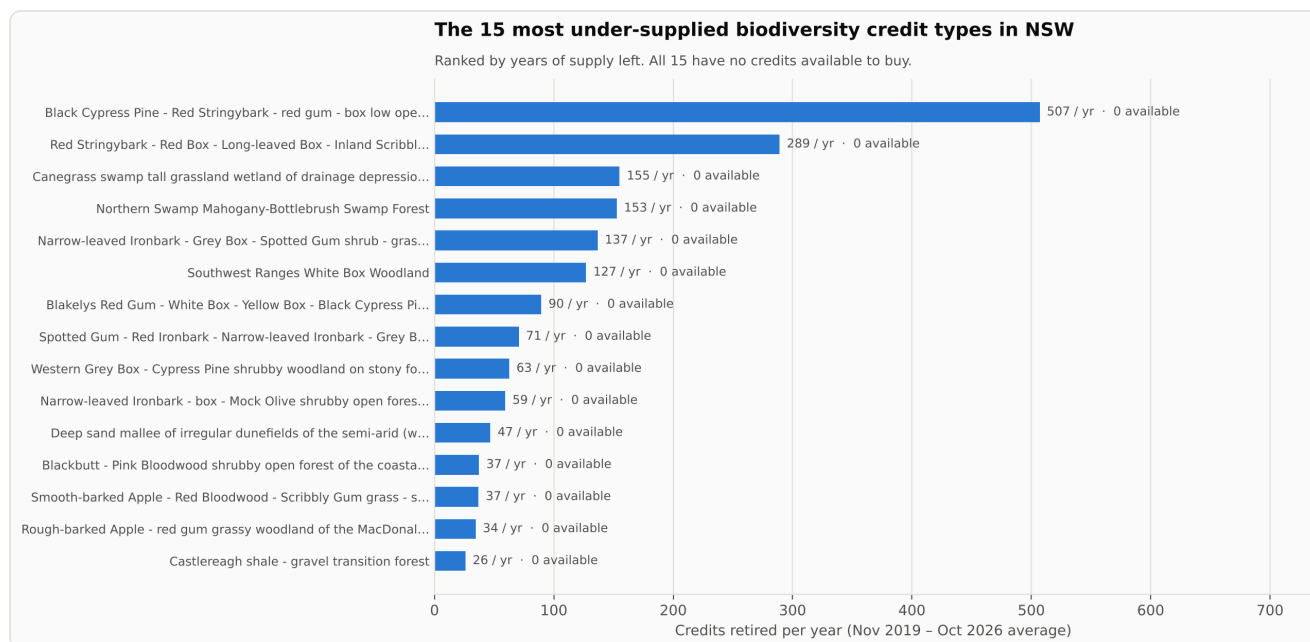
Question: which biodiversity credit types in NSW are most under-supplied relative to demand?
Data: DCCEEW Biodiversity Offsets Scheme registers, extracted 5 October 2026 (2,826 supply records; 2,554 transactions from November 2019 to October 2026). **Method:** see the [README](#).
In short, *years of supply = credits available ÷ credits retired per year*, calculated for each credit type.

Summary

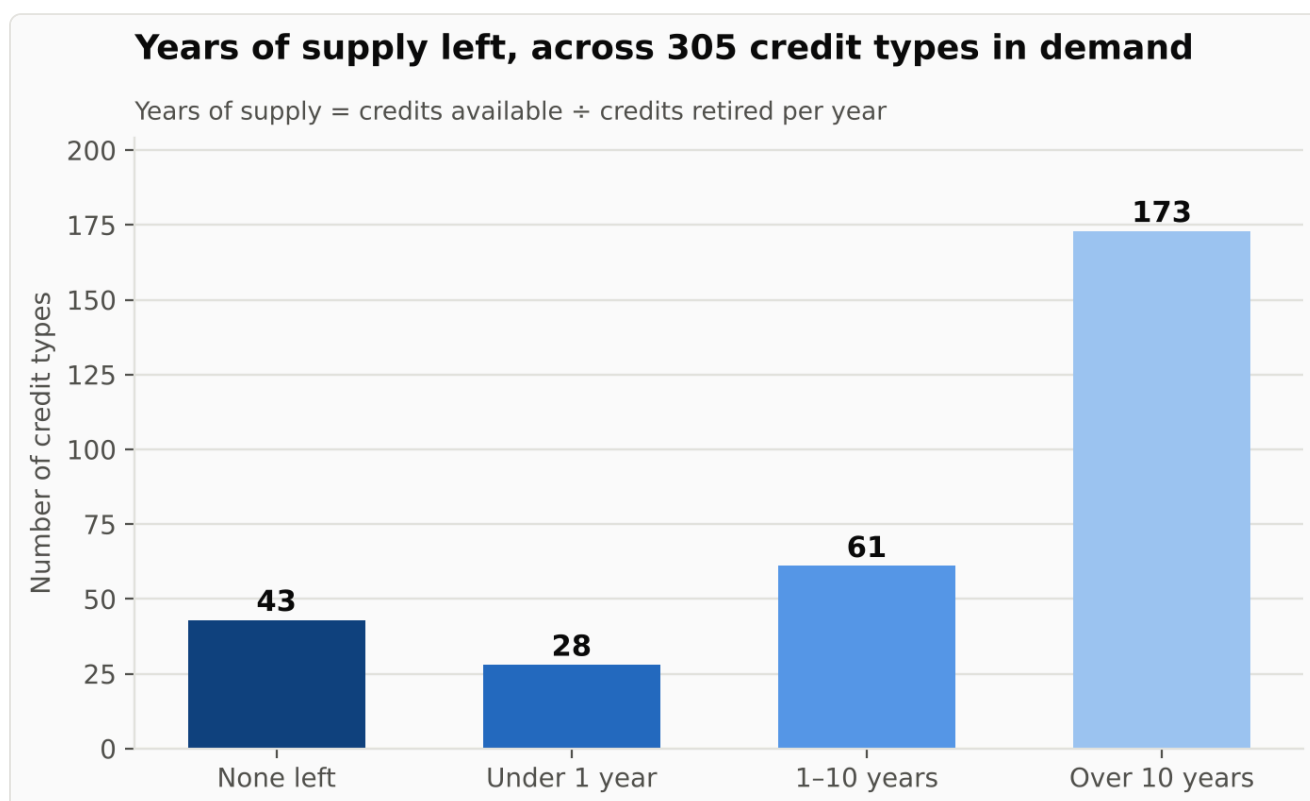
Measure	Result
Credit types retired against offset obligations	305
... with zero credits available today	43 (14%)
... with under 1 year of supply left (including the 43)	71 (23%)
Median years of supply across all 305 types	17.8 years
Credits retired in total	281,579
Credits available now (Issued + Equivalence)	1,172,603
Credits in the pipeline (Pending Review)	781,328
Value of credit sales, 2019 - Oct 2026 (ex GST)	≈ \$726 million

In one sentence: the market as a whole has plenty of credits, but they are the wrong kinds in the wrong places. Nearly a quarter of the credit types developers actually need will run out within a year, and most of those have nothing in the pipeline to replace them.

1. Shortages are concentrated in specific vegetation types



- The 15 scarcest credit types are **all ecosystem credits with zero supply**.
- The top-ranked type, *Black Cypress Pine – Red Stringybark – red gum – box low open forest* of the NSW South Western Slopes, is retired at about **507 credits a year** with none available.
- Shortages cluster in two areas:
- **Inland woodlands and dry forests of the NSW South Western Slopes and Riverina** (ranks 1, 2, 7 and 9)
- **Ironbark, Spotted Gum and Grey Box forests of the Hunter** (ranks 5, 8 and 10)
- Of the 43 zero-supply types, **39 are ecosystem credits and 4 are species credits**.



Most credit types (173 of 305) have more than 10 years of supply. The market is not short everywhere: it is **lopsided**.

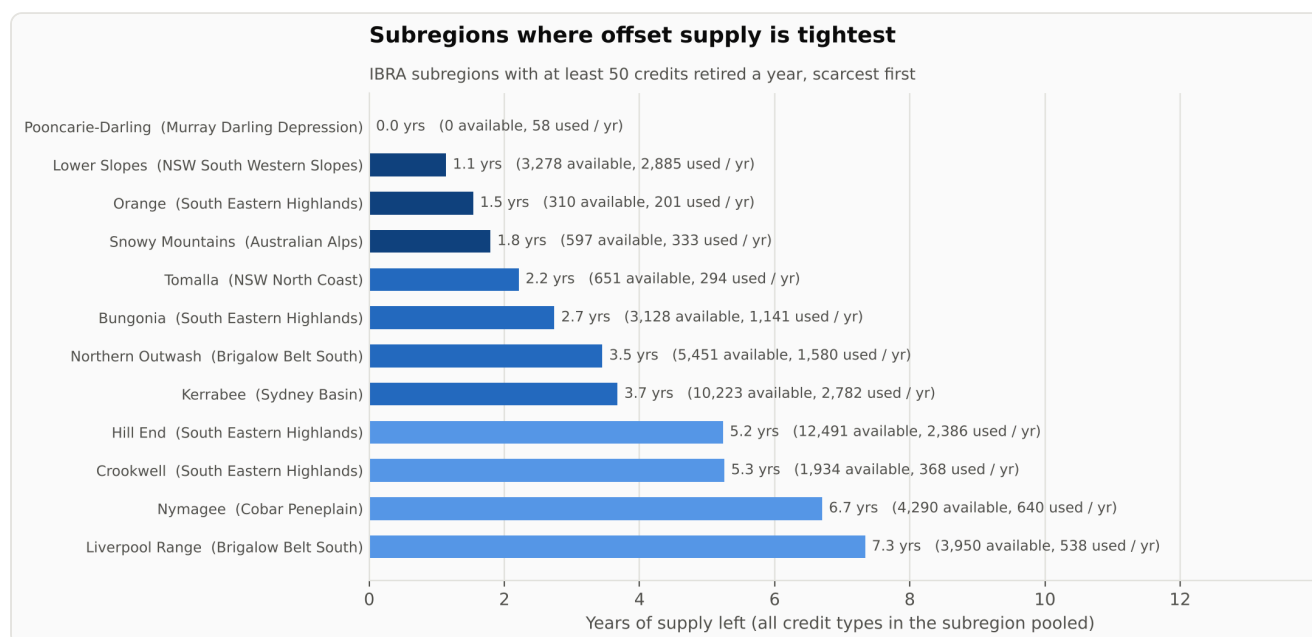
2. Scarce species credits

Rank	Species	Available	Retired per year	Years left
16	Harrow Wattle (<i>Acacia acanthoclada</i>)	0	18	0
20	<i>Pimelea curviflora</i> var. <i>curviflora</i>	0	6	0
54	Tarengo Leek Orchid (<i>Prasophyllum petilum</i>)	162	503	0.3
55	Pine Donkey Orchid (<i>Diuris tricolor</i>)	168	503	0.3
59	Superb Parrot (<i>Polytelis swainsonii</i>)	31	62	0.5
66	Singleton Mint Bush (<i>Prostanthera cineolifera</i>)	19	22	0.9

The two orchid rows share an identical rate because a single project (SSD 8642) retired both species together in June 2024. The rate reflects one obligation, not steady yearly demand.

By contrast, **Koala credits are well supplied**: about 70,000 are available, 20 years at the current rate, with a further 78,000 pending.

3. Where supply is tightest geographically



Pooling all credit types within each IBRA subregion (subregions with at least 50 credits retired a year):

- **Lower Slopes** (NSW South Western Slopes) is under the most pressure. About 2,900 credits are used a year, with only about 1.1 years of supply.

- **Orange, Bungonia, Hill End and Crookwell** (South Eastern Highlands) all have less than 6 years.
- **Pooncarie-Darling** (Murray Darling Depression) has demand but no supply listed at all.

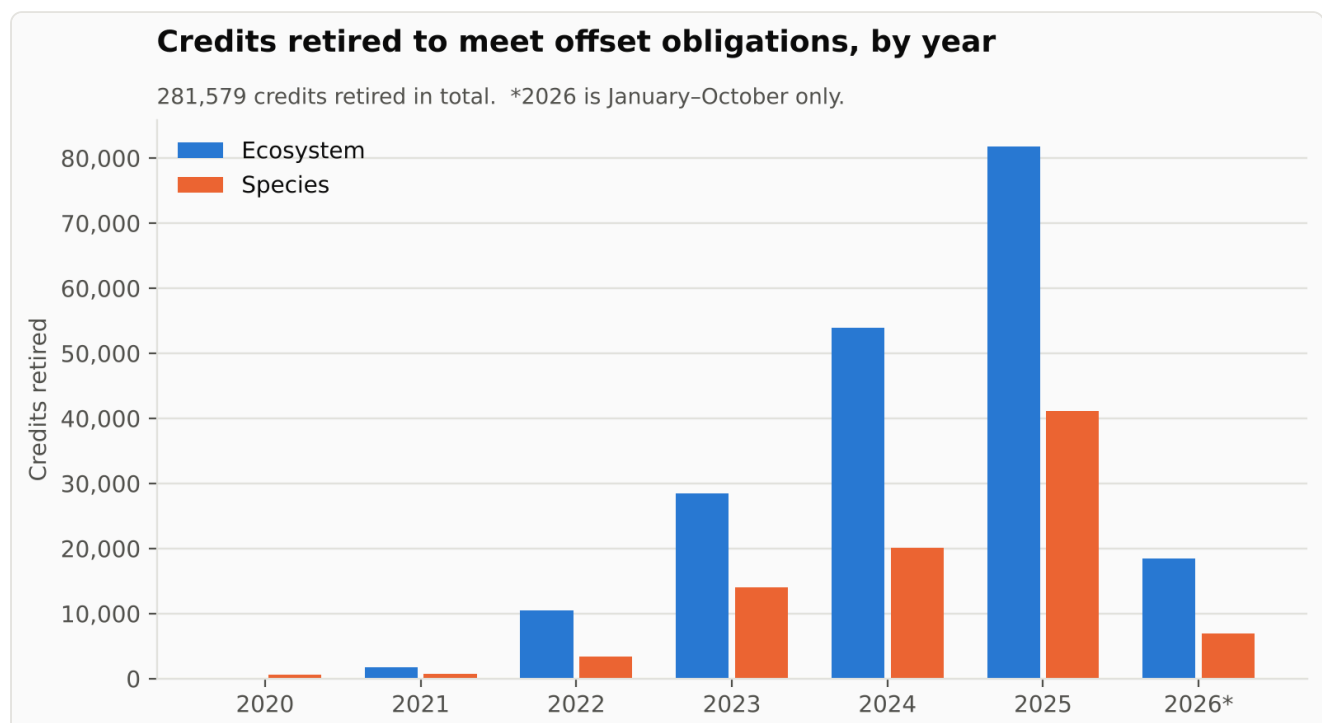
These subregions are where **new stewardship sites would be most valuable**, both environmentally and commercially.

Caveat: the subregion recorded in the transactions register is where the credits were located (the stewardship site), not where the development happened, so this shows where supply is being used up. Pooling by subregion is also a broad view. Real like-for-like rules match on vegetation type or species, so the credit-type ranking in section 1 is the more precise measure.

4. The pipeline will not fix most shortages

- Of the **71** credit types with under a year of supply, only **16** have any credits under review (Pending Review), and only **14** have enough pending to cover a year of demand.
- So **about 4 in 5 of the scarcest credit types have nothing coming**. Without new stewardship agreements, proponents will increasingly have to pay into the Biodiversity Conservation Fund or rely on variation rules.

5. Demand has grown fast

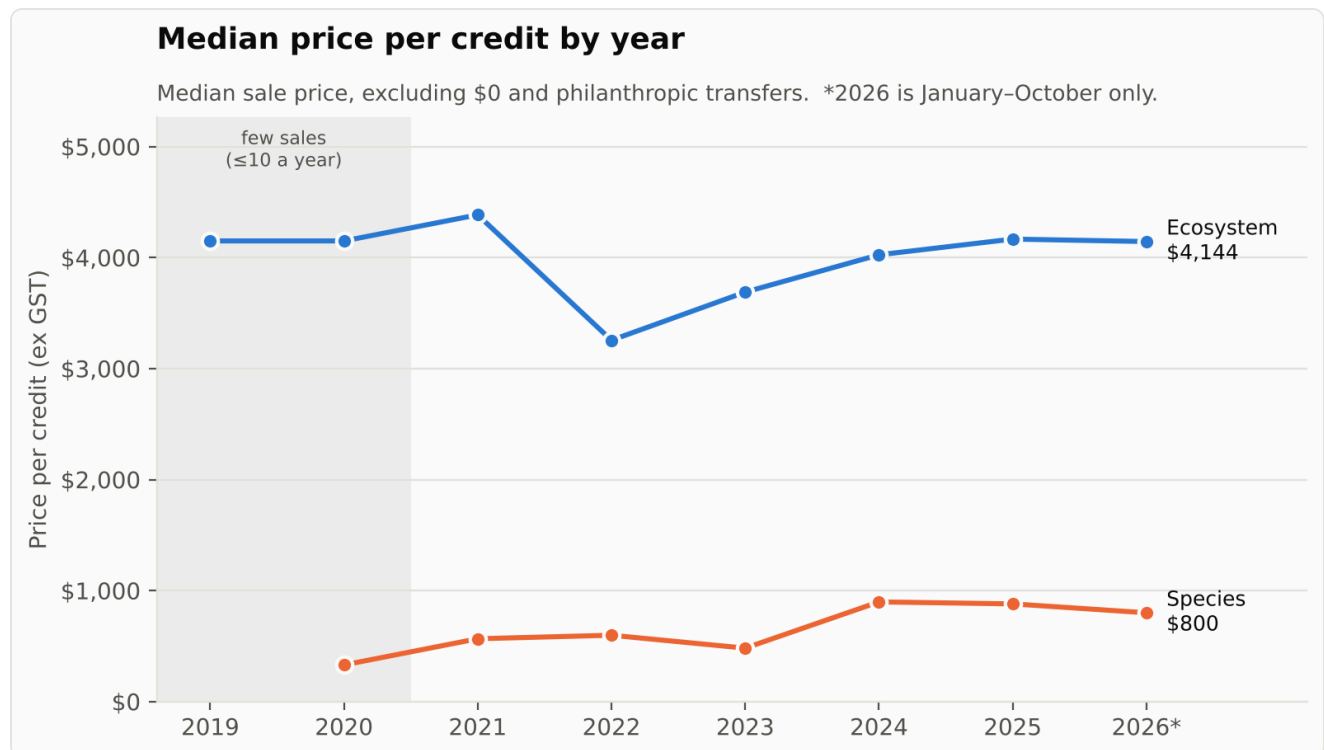


- Credits retired rose from about **2,000 in 2021 to about 123,000 in 2025**.
- Retirement transactions grew from 36 in 2021 to 356 in 2025.
- **90%** of retired credits were retired to meet a planning or clearing approval. **6%** were retired by the Biodiversity Conservation Trust to meet its obligations.

- Demand is **concentrated**: the 10 most-retired credit types account for **40%** of all credits retired.

Implication: the ranking uses the 6.8-year average rate. Recent demand is well above that average, so actual years of supply for many credit types are **shorter** than shown.

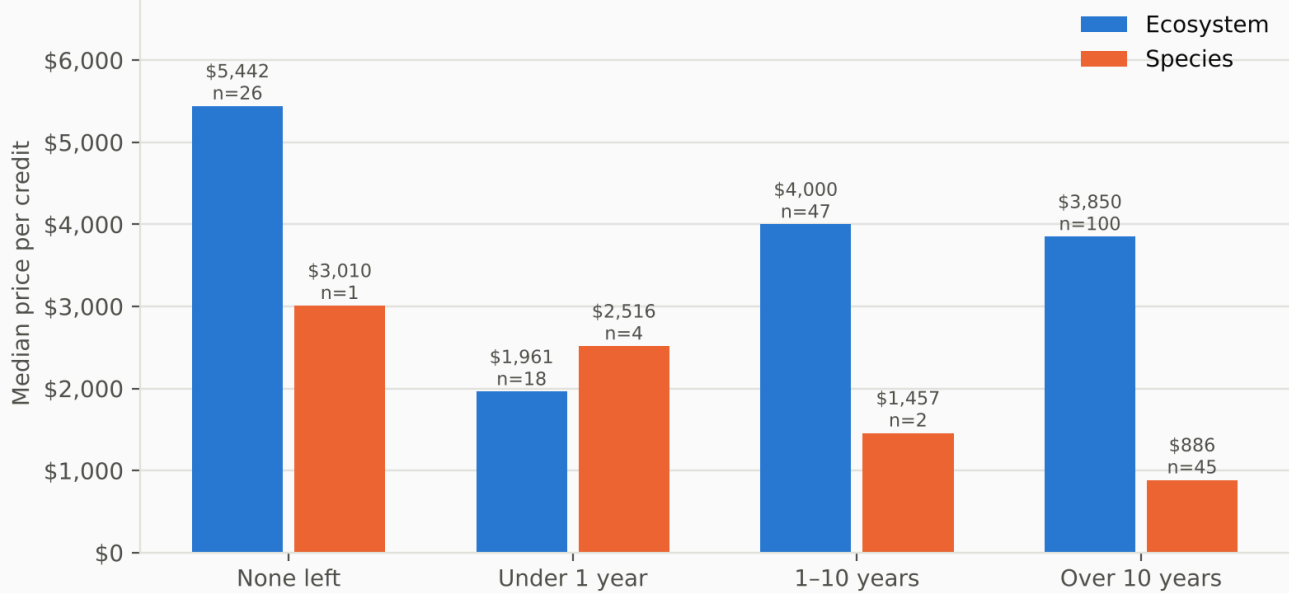
6. Prices



- **Ecosystem credits** are steady at a median of about **\$3,300–\$4,400** per credit.
- **Species credits** have **more than doubled**, from about \$330 (2020) to \$800–\$900 (2024–2026).
- 2019–2020 had very few sales (10 or fewer a year), so treat those years with caution.

Scarcer credit types generally sell for more

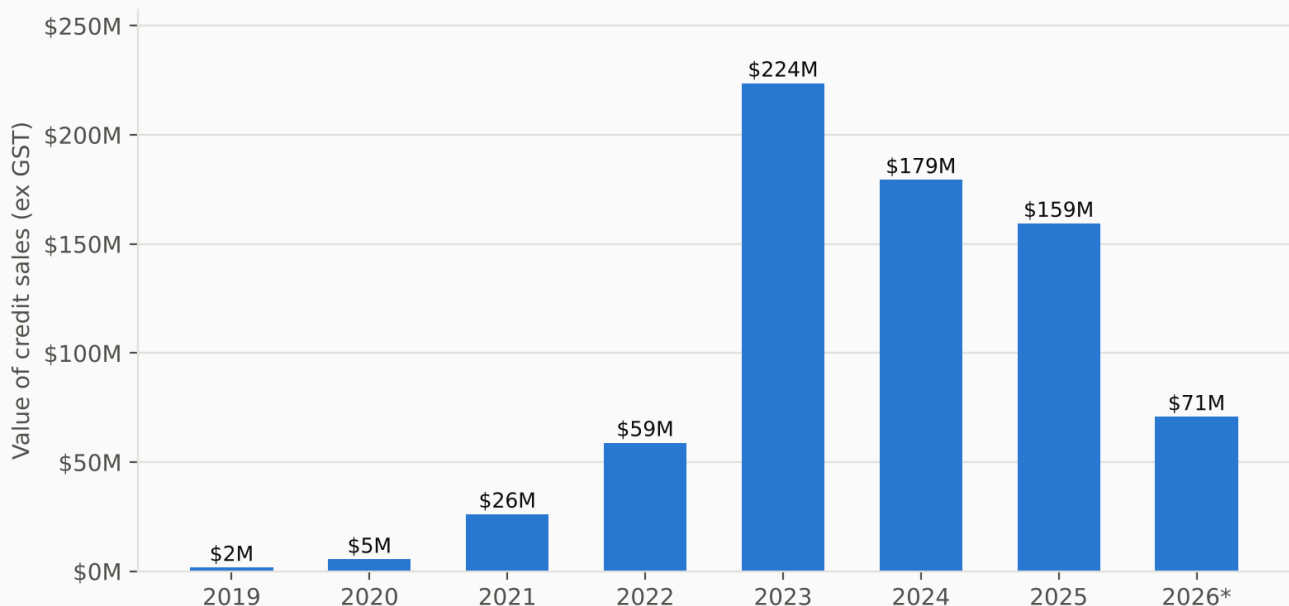
Median of each credit type's median sale price. n = number of credit types.



- Ecosystem credit types with **no supply left** sell for a median of **\$5,442**, about **40% more** than plentiful types (\$3,850). This supports the scarcity ranking.
- The "under 1 year" ecosystem group breaks the pattern (\$1,961). Possible reasons are a small group (18 types) and older sales made before those types became scarce.
- Species credits show a clear gradient (\$886 for plentiful types, \$2,500–\$3,000 for scarce ones), but there are very few scarce species, so this is indicative only.

Value of biodiversity credit sales by year

\$726 million in total since 2019. *2026 is January–October only.



- Credit sales are worth **about \$726 million** in total. The peak was **\$224 million in 2023**.
- Sale value has eased since 2023 even as retirements kept rising. A likely reason is that more retirements now use credits bought earlier or created by the proponent's own stewardship site, but the registers alone cannot confirm this.

7. What this means

For	Implication
Developers and consultants	Check supply early for South Western Slopes, Hunter and South Eastern Highlands vegetation types. Expect to pay more, or to need fund payments or variation rules.
Landowners	Stewardship sites with scarce PCTs (section 1) or in tight subregions (section 3) have the strongest demand and prices.
Biodiversity Conservation Trust and government	About 55 of the 71 scarcest credit types have no supply pipeline. They are candidates for targeted procurement or incentives.
Data owners (DCCEEW)	Consistent PCT naming across registers, a PCT ID in the transactions register, and real Excel exports would make the market much easier to analyse.

8. How this compares with official reviews

Source	What it found	How it relates to this project
NSW Audit Office, Effectiveness of the Biodiversity Offsets Scheme (Aug 2022)	91% of ecosystem and 96% of species credit demand could not be matched to supply; most credit types had never traded; the BCT had met only about 20% of the obligations it took on; public registers lacked key data	Same direction as the finding that 71 of 305 credit types have under a year of supply. The Audit Office figures are higher because they include all obligations, including unmet ones held by the BCT, while this project only sees demand that was met (retirements).
IPART, Biodiversity Credits Market Monitoring 2024–25 (Jul 2026)	About 40% of biodiversity types face offsetting difficulties; over a third of BCT settlements in 2024–25 did not follow like-for-like matching; data transparency problems remain	Consistent with the shortage ranking and the data quality issues found here (inconsistent names, no PCT ID in transactions, mislabelled file formats).
Henry Review of the BC Act (Aug 2023)	The Act is "not meeting its primary purpose"; 58 recommendations, including an overhaul of the Offsets Scheme	Policy context for why credit shortages matter.

Takeaway: the results here are consistent with official findings, and are best read as a *conservative lower bound* on scarcity.

Limitations

- **Demand is measured from retirements**, so unmet demand (fund payments and outstanding BCT obligations) is invisible. True scarcity is higher, which is why the Audit Office's figures are larger.
- **Demand is growing fast**, so the 6.8-year average understates current demand.

- **Old and new vegetation classifications.** NSW introduced a new eastern NSW PCT classification in 2022 (IDs 3000 and above). The same vegetation can appear under an old name in one register and a new name in another, so a few "zero supply" types may have equivalent credits listed under the new classification.
- **What the region view measures.** The subregion in the transactions register is where the credits were located (the stewardship site), not where the development happened. The region chart shows where supply is being used up, not where impacts occurred.
- **One-off projects inflate some rates.** For example, the Tarengo Leek Orchid and Pine Donkey Orchid figures (503 credits a year each) come from a single project (SSD 8642) that retired both species together in June 2024. Averaging a one-off obligation as a yearly rate overstates ongoing demand for those species.
- **Point-in-time snapshot** (5 October 2026), and **like-for-like matching is simplified** (each PCT is treated as its own market).
- **BioBanking (pre-2017) registers are not yet included**, apart from equivalence credits.

Register data © State of New South Wales (DCCEEW), CC BY 4.0. Code and analysis: github.com/Likithaa07/nsw-biodiversity-credit-gap